

transferring that bitcoin in that address to another address, so too went the marker of information about house ownership.

In this sense, by sending bitcoin, the transaction also signified the transaction of property rights to a house. There are several regulatory authorities that need to recognize that transfer for this example to become an everyday reality, but the point is to show how all kinds of value can be transmitted through Bitcoin's blockchain.

COUNTERPARTY: SMART CONTRACTS ON BITCOIN

Counterparty is a cryptocommodity that runs atop Bitcoin, and was launched in January 2014 with a similar intent as Ethereum. It has a fixed supply of 2.6 million units of its native asset, XCP, which were all created upon launch. As described on Counterparty's website, "Counterparty enables anyone to write specific digital agreements, or programs known as Smart Contracts, and execute them on the Bitcoin blockchain."⁷ Since Bitcoin allows for small amounts of data to be transmitted in transactions and stored on Bitcoin's blockchain, it becomes the system of record for Counterparty's more flexible functionality. Since Counterparty relies upon Bitcoin, it does not have its own mining ecosystem.

The reason Bitcoin developers haven't added extra functionality and flexibility directly into its software is that they have prioritized security over complexity. The more complex transactions become, the more vectors there are to exploit and attack these transactions, which can affect the